

Concept of Revenue

- • Revenue refers to the income a firm earns from selling goods and services.
- • It is calculated as $\text{Price} \times \text{Quantity sold}$.
- • Acts as the starting point for measuring firm performance.

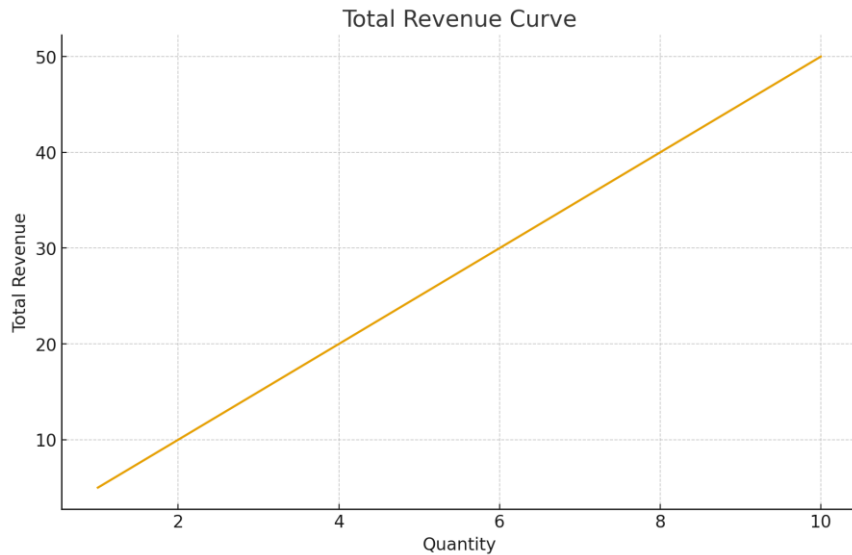
Importance of Revenue

- • Helps determine profitability.
- • Guides pricing and output decisions.
- • Used to analyse business growth and sustainability.

Types of Revenues

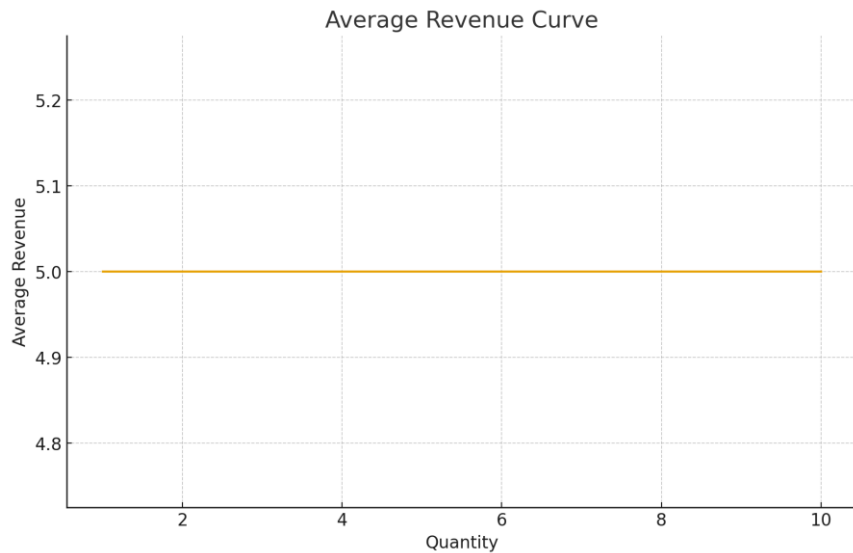
- • Total Revenue (TR): Total income ($\text{Price} \times \text{Quantity}$).
- • Average Revenue (AR): Revenue per unit ($\text{TR} \div \text{Quantity}$).
- • Marginal Revenue (MR): Additional revenue from selling one more unit.

Shape of Total Revenue



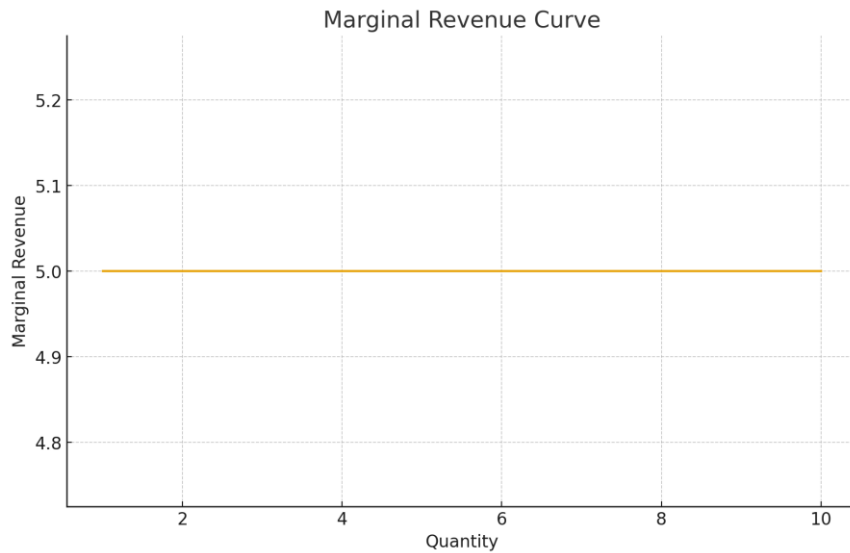
Q	TR
1	5
2	10
3	15
4	20
5	25
6	30
7	35
8	40
9	45
10	50

Shape of Average Revenue



Q	AR
1	5.0
2	5.0
3	5.0
4	5.0
5	5.0
6	5.0
7	5.0
8	5.0
9	5.0
10	5.0

Shape of Marginal Revenue



Q	MR
1	5
2	5
3	5
4	5
5	5
6	5
7	5
8	5
9	5
10	5

Sales Maximization

- • Proposed by Baumol: firms may aim to maximize sales instead of profit.
- • Sales maximization subject to minimum profit constraint.
- • Focuses on increasing market share and revenue.

Sales Maximization: Concept

- • Focus on maximizing total sales volume
- • Prioritizes market share over profit
- • Aims to achieve higher output levels
- • Often linked with long-term business growth

Profit Maximization: Concept

- Profit maximization is a business goal to achieve the highest possible net income by setting optimal output, price, and cost levels, typically found where Marginal Revenue (MR) equals Marginal Cost (MC)
- Profit is $TR - TC$; the goal is to maximize this difference.